Design Website muss **Vertrauen, Automatisierung und Einfachheit** vermitteln, da es um Finanzen, Steuererstattung und die Nutzung sensibler Kundendaten geht.

Zusammenarbeit mit **Neobanken** erfordert modernen und schlanken Stil (FinTech-Stil).

Seiten:

1. Home
2. Product
3. Why us
4. Integration
5. Team
6. Sign in
7. News & Knowledge

Fußzeile auf jeder Seite:

Contact us

Links zu

1. Terms of Service
2. Privacy Policy
3. Imprint

Design-Philosophie & Stil

- **Look & Feel:** Modern, minimalistisch, *FinTech-Ästhetik*. Viel Weißraum, klare Typografie.
- **Farbpalette:** Hauptfarbe ist sattes Grün (siehe VATGenius Logo), das *Vertrauen* und *Innovation* vermittelt. Akzentfarben sollten Sparsamkeit und Geschwindigkeit hervorheben.
- **Logo:**

VATGenius

- **Visuelle Elemente:**
    - **Keine Stock-Fotos von Händeschütteln:** Stattdessen Fokus auf **Datenflüsse**, **APIs**, **Dashboards** und **Automatisierung** (z.B. animierte Grafiken, die zeigen, wie Daten sicher fließen und Geld zurückkommt).
    - Klare Icons für die einzelnen Schritte (Analyse, Einreichung, Erstattung).

Primäre Sprache: Englisch

Übersetzungsangebot: Deutsch, Französisch, Spanisch

Üblicher Pop-Up mit Hinweisen zu Cookies und Zustimmung zu Privacy Policy.

1. Home Seite

Element	**Inhalt & Fokus**
Hero-Sektion (Kopfzeile)	**H1:** Unlock Foreign VAT Refunds: A Frictionless Revenue Stream for Your Business Accounts. **Subline:** Empower your business customers to claim back foreign Input VAT automatically and digitally (hier Link zu Artikel 9 “Basics of the VAT refund procedure” einfügen. Linkbezeichnung in Klammern: “Basics of the VAT refund procedure”). Our solution integrates seamlessly into your platform, providing a zero-effort, end-to-end recovery service. Boost customer loyalty, increase transaction volume, and offer a powerful new financial tool without administrative overhead for your bank.
Section with Visuals	A modern graphic showing data seamlessly flowing from the "Neobank App Interface" into the "VAT Reclaim Engine," concluding with a money-back icon. VATGenius Bank API: • Easy integration with API for automated data transfer from your bank system. Captures, organizes, processes, and validates data from all the invoices and receipts of your business customers. VATGenius Engine: • Provides automated invoice compliance assessment based on artificial intelligence, designed to optimize the process of determining whether an invoice or receipt is compliant for VAT refunds. • Informs your business customers about potential foreign VAT refund amounts for all types of transactions. • Requests authorization from your business customers to apply for VAT refunds. • Handle potential inquiries from foreign tax authorities. • Display the current status of the VAT refund application in real time. • Monitor the payment of the VAT refund. VATGenius TAX API: • Submits local and foreign VAT refund application fully automatically and digitally to the tax portals of the relevant countries.
Call-to-Action (CTA)	**Primär:** "Request a Live Demo & Partnership Consultation" (Link zur Anmeldeseite). (Prominent, high-contrast button)
Section with Visuals	H1: „Your advantages & benefits in a glance: 1. Revenue: New, passive revenue stream via profit-share.

Element	Inhalt & Fokus
	2. Retention: Delivers tangible financial returns to your business customers, boosting loyalty. 3. Differentiation: Offer a unique, premium service that competitors lack.”
Section with Visuals	H1: Security and Compliance • At VATGenius, implementing effective cybersecurity measures is fundamental to ensuring the protection of sensitive data and thereby securing the trust of our customers. • From the use of encryption protocols to the implementation of multi-factor authentication for access controls, we carefully review and reinforce every aspect of data processing. • VATGenius stores, processes, and handles data in a secure and compliant manner, adhering to the highest industry standards.

Anmeldeseite, auf der sich der Besucher für die Demo anmeldet

Element	Inhalt & Fokus
Hero-Sektion (Kopfzeile)	**H1:** Zero Integration Friction. Maximum Financial Upside. **Subline:** Speed and seamless experience are critical for your business customers. Our API solution guarantees smooth integration into your core banking platform. • Zero Operational Overhead: We manage the entire end-to-end recovery process, from receipt verification to final disbursement. • New Revenue Stream: Generate a new, passive revenue share based on the recovered VAT volume processed through your platform. • Competitive Edge: Provide a powerful, innovative service that sets you apart from traditional banks and competitors.

Feld (Field)	Placeholder / Beispiel
Full Name*	[Jane Doe]
Work Email*	[jane.doe@neobank.com]
Company Name*	[Name of your company]
Job Title*	[CEO/ CPO / Manager of Business Development]
Country of Operation	[Germany / UK / Global] Als Dropdown mit Auswahl.
CTA-Button Text	Book My Demo & Consultation Now
Zusatztext (Wichtig!)	"We respect your privacy. The information will only be used to schedule your tailored demo & consultation."
Checkbox (Datenschutz)	[ ] I agree to the Privacy Policy and consent to receiving marketing communications. “Privacy Policy” ist verlinked.
Thank You Page	"Thank you! We will contact you within 24 hours to schedule your personalized demo."

2. Product Seite

Element	Inhalt & Fokus
Hero-Sektion (Kopfzeile)	**H1:** Monetizing Foreign VAT Reclaim for Business Customers • Foreign business expenses (travel, trade shows, services) of your business customers are increasing, but many recoverable foreign VAT amounts are not claimed due to complexity, varying country regulations, documentation requirements, compliance concerns, and manual processing (hier Link zu Artikel 9 "Basics of the VAT refund procedure" einfügen. Linkbezeichnung in Klammern: "Basics of the VAT refund procedure"). For this reason, your business customer requires an automated solution. • Our Solution: Elevating customer value and generating passive revenue through a fully automated, compliance-assured platform for B2B VAT recovery, requiring zero effort from your business customer.
Section	**H1: How it Works (The 4-Step Integration Flow)** Step 1: Data Acquisition • Automated transaction data transfer via the VATGenius API. Step 2: Processing • The VATGenius Engine automatically checks the required documents and receipts, compiles them, calculates the VAT refund amounts, and reports to business customers. Step 3: Filing • The VATGenius TAX API files the complex application to the relevant foreign tax authority Step 4: Pay-Out • Funds are received and disbursed seamlessly, which has a direct impact on the results of your business customers.
Visual Flowchart	A simple 3-step diagram illustrating the API connection: 1. VATGenius Bank API: Securely connects to the Bank's transaction data. 2. VATGenius Engine: Automatically processes and files the claim. 3. VATGenius TAX API: Securely connects to the tax authority portals. 4. VATGenius Monitor: Funds reconciled and credited to the customer's account.
Section	**H1: Your Customer Benefit** • No effort: Fully automated identification of refundable VAT. • Maximum amount: AI-supported verification ensures the full potential of VAT refunds.

Element	Inhalt & Fokus
	• Complete transparency: Access the status of the application at any time via the banking dashboard.
Section	**H1: Compliance & Security: Trust Built on Regulatory Excellence** • As a partner in the financial sector, we understand that trust, security, and uncompromising regulatory adherence are non-negotiable. Our solution is engineered to mitigate risk, ensuring full compliance for both your institution and your business customers.
Section	H2: **Global Tax Compliance-as-a-Service** Subline: The foreign VAT refund process is notoriously complex, requiring continuous monitoring of evolving tax directives across multiple jurisdictions. • **Dedicated Expertise**: We employ a dedicated team of international tax specialists who proactively manage adherence to all relevant regulations, including the EU Directives and specific national tax authority requirements. • **Text Risk Transfer**: By integrating our solution, your business customers effectively offload the entire regulatory and administrative burden associated with foreign VAT recovery. We ensure every claim is filed accurately and legally compliant. • **Audit Readiness**: Our robust documentation and immutable data trails ensure that every submitted claim is fully auditable and defensible against tax authority inquiries.
Section	**H1: Data Security and Privacy (GDPR Compliant)** **Subline**: We treat your customers' financial data with the highest level of security and respect for privacy. • Zero-Trust Architecture: Our platform operates under strict security protocols, utilizing encryption both at rest and in transit (AES-256 and TLS 1.2+). • Data Minimization: We only process the necessary transactional data required for claim validation, adhering strictly to GDPR (General Data Protection Regulation) principles and best practices. • Regular Audits: Our systems undergo regular, independent third-party security audits (e.g., SOC 2 readiness) to ensure continuous protection against vulnerabilities.
Section	**H1: Secure API and Infrastructure** Subline: Our integration is designed to integrate seamlessly without compromising your existing security posture.

Element	Inhalt & Fokus
	• Token-Based Authentication: All API interactions utilize secure, token-based authentication protocols, ensuring that only authorized services can access the data streams. • Cloud Infrastructure: Hosted on certified cloud environments with redundancy and world-class physical security measures.
Call-to-Action (CTA)	Primär: " Request a Live Demo & Partnership Consultation " (Link zur Anmeldeseite). (Prominent, high-contrast button)

3. **Why us** Seite

Element	Inhalt & Fokus
Hero-Sektion (Kopfzeile)	**H1**: **The VATGenius Partner Benefits: Revenue, Retention, Differentiation** • Fees are only incurred when VAT is actually refunded. This means that the customer does not bear any financial risk. • You only incur costs in relation to the integration of the VAT recovery service. Your income can exceed these costs many times over. • The service as a low-cost customer acquisition tool justifies a higher price point for the business account. • Increase the loyalty of your business customers. Offering a high-value service makes switching providers less attractive. • You have the option of labeling the VAT recovery service as your own service or as a third-party service in your customers' dashboard. • Traditional business accounts do not offer such services. They leave money on the table by offering transaction services but no value-adding financial optimization services. You can improve your position in the market. • Plug-and-Play Integration. Go Live in Weeks.
Section with Icons	**H1: Partnership Implementation & Go-to-Market** **Integration** • Ready for Pilot in 4-8 Weeks. Very low technical debt and resources needed from your side. **Operational Support** • We handle all legal, compliance, and customer support related to the VAT process. Your workload is minimal. **Marketing & Sales Enablement** • We provide materials and training to help your sales team effectively promote the new service.”
Section mit Icons	**Why Partner with Us?** **Neobank Integration Expertise** • We are experts in handling the transaction data, statements, and documentation formats from leading Neobanks, significantly reducing preparation time and errors. **Pan-European Service** • Full support for cross-border Input Tax Reimbursement Claims (8th and 13th Directive VAT Refunds). We handle the process from submission to the final payout.

Element	Inhalt & Fokus
	Speed & Efficiency • Our streamlined, digital-first approach means quicker claim filing and faster processing compared to manual, paper-based methods. **Success-Based Model** • We often operate on a "No Win, No Fee" basis, ensuring our success is directly tied to yours. **Compliance & Assurance** • We ensure every claim is 100% compliant with local and EU-wide regulations, protecting your business from future audits.
Call-to-Action (CTA)	Primär: " Request a Live Demo & Partnership Consultation " (Link zur Anmeldeseite). (Prominent, high-contrast button)

4. **Integration** Seite

Element	Inhalt & Fokus
Hero-Sektion (Kopfzeile)	**H1**: Seamless API Integration **Subline:** “The success of our partnership hinges on the speed of implementation. Our solution is designed as a low-code, plug-and-play service, ensuring minimal strain on your internal development resources and a rapid time-to-market.”
Section	**H1: The Three Integration Pillars** **Subline:** Our service connects to your platform via a secure RESTful API, enabling automatic data flow and minimizing manual intervention. The integration requires focusing only on three core data exchange points: Customer Onboarding Hook • A simple click to activate the VAT reclaim service for a specific business customer. Transaction Data Feed • A secure feed of relevant foreign expense transactions. Approval, Status and Payout Reconciliation • A webhook to receive notification on approvals, real-time updates on claim status and final refund payments for seamless customer communication within your system.
Section	**H1: Low Code, High Value** **Subline:** We understand that speed and efficiency are paramount. We deliver Robust Documentation • Comprehensive, easy-to-follow API documentation and SDKs for popular languages to accelerate your development cycle. Dedicated Sandbox Environment • A fully functional testing environment allows your team to prototype and validate the integration without affecting your live production environment. Minimal Maintenance • We handle all ongoing compliance updates, foreign tax authority changes, and system maintenance. Once integrated, the service runs automatically, ensuring zero technical debt for your platform.

<table>
<tr><th>Element</th><th>Inhalt & Fokus</th></tr>
<tr><td>Section mit Visuals

Table</td><td>
H1: Time-to-Market Estimate

Subline: We project a rapid implementation timeline, allowing you to launch this new premium feature quickly:
<table>
<tr><th>Phase</th><th>Description</th><th>Estimated Duration</th><th>Your Dev Effort</th></tr>
<tr><td>Phase 1</td><td>API Access & Sandbox Testing</td><td>2 Week</td><td>Minimal (1 Developer)</td></tr>
<tr><td>Phase 2</td><td>Data Flow Integration & Validation</td><td>4-6 Weeks</td><td>Low to Moderate</td></tr>
<tr><td>Phase 3</td><td>Compliance Review & Pilot Launch</td><td>1 Week</td><td>None (Internal Review)</td></tr>
<tr><td>Total Time to Pilot</td><td></td><td>~6–8 Weeks</td><td>Limited</td></tr>
</table>
</td></tr>
<tr><td>Call-to-Action (CTA)</td><td>Primär: " Request a Live Demo & Partnership Consultation " (Link zur Anmeldeseite). (Prominent, high-contrast button)</td></tr>
</table>

5. **Team** Seite

Element	Inhalt & Fokus
Hero-Sektion (Kopfzeile)	**H1**: The VAT Refund Specialists for Your Business Customers **Subline:** We empower companies that use innovative financial solutions, especially those that work with neobanks, to seamlessly reclaim their maximum refundable VAT through the input tax refund process (hier Link zu Artikel 9 “Basics of the VAT refund procedure” einfügen. Linkbezeichnung in Klammern: “Basics of the VAT refund procedure”).
Section mit Icons	**H1: Our Niche & Expertise** **The Challenge** • Traditional VAT refund processes are often difficult to integrate efficiently into the unique infrastructure and documentation of digital neobanks. This can lead to missed applications, delays, or administrative overhead. **Our Solution** • We have tailored our process to this reality. We specialize in handling the input tax refund process and have in-depth knowledge of neobank documentation, enabling us to ensure faster, more compliant, and more successful VAT refunds. **Our Promise** • We maximize the liquidity of your business customers by ensuring that they successfully recover every euro of VAT to which they are entitled. • Our proprietary technology and team of experts bridge the gap between legal VAT requirements and the agility of digital banking.
Section	**H1: The Team** (short, professional photos and bios for the key leaders.) **Dr. Philipp Tranacher** Tax & Legal PhD, CPA, CTA, Lawyer. 15+ years in international tax.

Element	Inhalt & Fokus
	 Charles Watkins Product Dev. & Sales Master’s degree in Psychology. 10+ years in international sales. **Nils Löwe** IT & Product Development Master's degree in Computer & Electrical Engineering and Information Technology. 10+ years in software development.

Section mit Visuals	H1: **Our Values**
	Precision
	• Ensuring absolute accuracy to maximize recoverable VAT and minimize audit risk.
	  ○ We guarantee absolute accuracy and compliance with international tax laws, minimizing risks and maximizing the refundable VAT amount for your customers. Our processes are designed to manage complex data from different jurisdictions with flawless precision.”
	Digital First
	• Transform complex processes into a seamless, scalable, API-driven digital experience.
	  ○ Using API-driven integrations and advanced automation, we transform the manual, paper-intensive process of VAT refunds into a seamless, fully digital experience. This ensures speed,

Element	Inhalt & Fokus

	scalability, and minimal operational overhead for your banking platform.
	
	Customer Focus
	
	• Design a seamless service that enhances your customers' global banking experience and strengthens their loyalty.
	  ○ Our services are tailored to the needs of your business customers, offering a seamless service that is easy to understand and accessible directly through your banking interface, thereby increasing customer loyalty and satisfaction.
	
	Transparency
	
	• Providing real-time transparency and clear, upfront communication throughout the entire reimbursement cycle.
	  ○ We provide a clear, real-time audit trail for every transaction and refund status. Our fees and process steps are clearly outlined from the outset to ensure complete trust and transparency between us, the neobank, and the end customer.

Call-to-Action (CTA)	Primär: " Request a Live Demo & Partnership Consultation " (Link zur Anmeldeseite). (Prominent, high-contrast button)

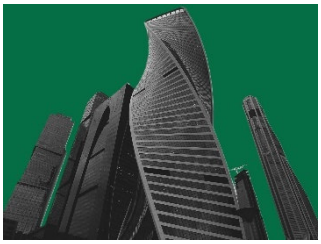
6. SIGN IN Seite

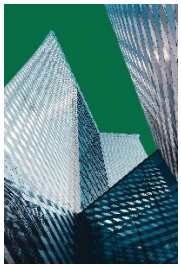
Hero-Sektion (Kopfzeile)	**H1**: Log in to your VATGenius account Email: [john@doe.com] Password: [12ab$%alpha] Forgot your password?
Section	**H1: New to VATGenius?** Subline: The VATGenius Platform is a fully integrated, API-based engine that enables 100% automated VAT recovery in real-time.
Call-to-Action (CTA)	**Primär: " Request a Live Demo & Partnership Consultation " (Link zur Anmeldeseite). (Prominent, high-contrast button)**

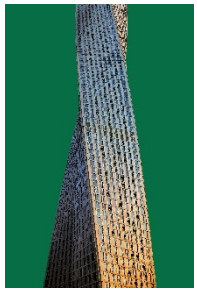
7. **News & Knowledge** Seite

Diese Seite enthält verschieden Artikel/Beiträge zu Umsatzsteuerthemen.

Jeder Artikel kann über einen Link geöffnet werden. Auf der NEWS Seite sind die Beiträge mit jeweils mit Symbolbild, Überschrift und Subline angeordnet. Jeweils 3 Artikel nebeneinander. Wenn auf einen Artikel geklickt wird, öffnet sie der Artikel mit vollem Text.







Artikel 1	**H1**: Final second BMF letter on electronic invoicing **Sub** On October 15, 2024, a letter was published on a number of VAT issues relating to e-invoicing (letter from 2024). After the economy has been able to gain initial practical experience since the beginning of 2025, the Federal Ministry of Finance (BMF) has issued a second letter exactly one year later, which addresses some doubts, amends the 2024 letter in parts and largely transfers it to the VAT Application Decree (UStAE).
Section	**General** The new letter deals with the e-invoicing obligation for transactions between entrepreneurs resident in Germany, which has been considered a passive obligation (receipt of invoices) since 2025, but is not to be introduced as an active obligation until 2027 or 2028 (sec. 27 para. 38 of the German VAT Act). The new letter is

essentially intended to transfer the letter of 2024 to the VAT Circular, but without repealing this letter, which instead amends and supplements it in some points. The new letter is to apply in principle to all transactions carried out after December 31, 2024.

Changes to the 2024 Letter

The letter comments in detail on errors in the e-invoice. First, it distinguishes between format errors and format-specific business rule errors. Format errors occur if the invoice file does not comply with the permitted syntaxes or their technical specifications or (in cases where the issuer and recipient of the invoice have agreed on a different format) does not allow correct and complete extraction. Business rules are technical regulations for checking the logical dependencies of the information contained in an e-invoice; it can be present if the information is incomplete or contradictory and is found to be a "critical error" during validation, for example.

According to the BMF, both categories of errors can be checked with a suitable validation application. However, while format errors can lead to the invoice not meeting the requirements for the structured electronic format of an e-invoice and it is therefore (only) considered "other invoice", errors in the business rules (insofar as they relate to the mandatory information) lead to an e-invoice being present but not in order.

This means that in the event of format errors – regardless of errors in the mandatory information – the other invoice initially issued must in principle be corrected by issuing an e-invoice (margin no. 56 et seq. of the 2024 letter), while the corrections in the event of business rule errors in mandatory information can in most cases be limited to the mandatory information in question, provided that the prescribed form is observed (margin no. 49 of the 2024 letter).

However, format and business rule errors are by no means the only possible errors that can occur when creating an e-invoice: Content errors such as inadequate or incorrect service descriptions cannot usually be found through validation. The Federal Ministry of Finance therefore also clarifies that formal invoice verification via a validation application does not replace the substantive review of the invoice, but can only support the verification. Apparently, however, an entrepreneur should be able to rely on the fact that the e-invoice is free of format and business rule errors, provided that he has successfully checked it with a suitable validation application while observing the due diligence obligations of a prudent businessman. As proof, it would be advisable to keep the validation report.

One of the prerequisites for an e-invoice is that it enables electronic processing. A mere reference in the structured data to an annex in which the mandatory invoice information is contained in an unstructured form should therefore not be sufficient – because then no electronic processing is possible. It should be possible to include "supplementary information" in an attachment contained in the e-invoice (not via a link to an external destination). However, since all mandatory VAT information must be contained in the structured part of the invoice, the "supplementary information" should only be able to refer to information that is not absolutely necessary for the mandatory VAT information. In future, this would exclude not only references to contracts with regard to the service description, but also all references to information

not contained in a structured form, whether it is attached to the invoice or not (e.g. to a delivery note because of the date of performance). It is unclear whether and how the provisions on e-invoicing can be reconciled with the provision of sec. 31 para. 1 of the German VAT Implementing Ordinance, according to which the invoice may consist of several documents from which the required information can be obtained in total – in this regard, the letter merely states that nothing else follows from sec. 31 para. 1 of the German VAT Implementing Ordinance with regard to mandatory information to be presented in a structured form.

This requirement is far-reaching – for example, (as the Federal Ministry of Finance also notes in the VAT Circular), a note "performance date corresponds to invoice date" should only be possible for other invoices, but not for e-invoices.

It is true that small-value invoices, driving tickets as invoices and small business invoices (not: invoices to small businesses!) do not have to be issued as e-invoices. However, they may be issued as such under the other conditions (especially in B2B cases) without the consent of the invoice recipient. However, for other invoices in a different electronic format, the recipient's consent (possibly implied) is still required, because the invoice recipient does not have to accept an electronic format that is completely unknown to him.

In addition, clarification is provided that the mere reduction of the assessment basis does not in principle necessitate an invoice correction, but changes in the scope or content of services do. Interestingly, in the latter case, this should also be possible by means of a credit note, if this credit note specifically and unambiguously refers to the invoice.

The Federal Ministry of Finance clarifies that an obligation to issue e-invoicing also exists under the other conditions if the supply would be tax-exempt (there is already no obligation to issue an invoice in the case of services exempt from VAT pursuant to sec. 4 nos. 8 to 29 of the German VAT Act), but the VAT exemption has been waived pursuant to sec. 9 para. 1 of the German VAT Act.

Changes to the VAT Application Decree

The new letter essentially transfers the letter of 2024 to the VAT Circular, including the amendments now inserted, without, however, repealing this letter, which remains valid in its amended version. To the extent that the Federal Ministry of Finance makes statements in this context that are not already contained in the previous VAT Circularity or in the letter of 2024, they are mostly of a clarifying nature. If they have not already been mentioned above, here is a selection:

A contract as an invoice can constitute an e-invoice if it meets the requirements for its format – otherwise it is a miscellaneous invoice. Presumably, this does not mean that the contract is to be fully transferred to the semantic data model of EN 16931. Apparently, if there is an e-invoicing obligation, an e-invoice with the mandatory information may also have to be issued, which corrects the contract (in its capacity as merely "other invoice"). As already stated in the letter of 2024, the underlying contract could be included in this as a "supplementary information" in an annex contained in the e-invoice. Apparently, in the case where a contract functions as an invoice for a continuing obligation, it should be sufficient if an e-invoice is issued once for the first

	partial performance period, in which the underlying contract is contained as an appendix or it is clear from the other content of the e-invoice that it is a standing invoice. As before, the use of a unique number contained in the underlying contract (e.g. apartment or property number, tenant number) should be sufficient, and payment receipts do not have to be given a separate consecutive number. In the case of advance payment invoices and credit notes, it is sufficient to select the corresponding invoice type to indicate that they are invoices of this particular type. The BMF did not yet address other literal mandatory information such as "tax liability of the recipient of the service". It is clarified that an agreement of bonuses, discounts and discounts within the meaning of sec. 14 para. 4 no. 7 of the German VAT Act can be easily and unambiguously verified, for example by naming the corresponding contract; the agreement was to be stored in an orderly manner as part of the record-keeping obligations. **Note** The introduction of e-invoicing is of the utmost importance for German economic operators: Even though the active invoicing obligation will still be more than a year (in some cases even longer), entrepreneurs based in Germany should use the time intensively to prepare. The complex regulations and questions of doubt cannot be presented here in any way exhaustive – it is recommended to seek tax advice on this issue.
Artikel 2	H1: The relationship between input VAT refund procedures and assessment procedures Subline: The Federal Fiscal Court (BFH XI R 17/22, judgment of 25 June 2025) has awarded input VAT deduction in the assessment procedure to a non-EU entrepreneur who was excluded from the input VAT refund procedure. In individual cases, entrepreneurs who were unable to claim input VAT or not in full in the refund procedure in previous years can claim this tax retrospectively in the assessment procedure.
Section	**Background** The plaintiff, who is not resident in the EU, had purchased liquefied gas from B in September 2018, which it simultaneously sold on to a customer in September 2018. The gas was in Germany during the delivery. While the plaintiff charged VAT to its customer, B initially did not show any tax in its invoice to the plaintiff. In addition, there were demurrage costs ("demurrage", i.e. the fee for exceeding the agreed loading or unloading time of a cargo ship), which both B invoiced to the plaintiff and the plaintiff to its customer without a tax statement in 2019. The plaintiff did not achieve any other domestic sales in 2018 or in the following years. The plaintiff registered for VAT purposes in Germany and submitted a VAT return for the year 2018. It was not until January 2019 that B issued a corrected invoice with a VAT statement to the plaintiff. Therefore, the plaintiff submitted to the FA an advance VAT return for January 2019, in which it declared only the input VAT from this invoice.

The tax office refused to process the advance VAT return for January 2019 because the requirements for the assessment procedure had not been met during this period. However, the plaintiff was not able to file an application in the refund proceedings due to the lack of reciprocity (see sec. 18 para. 9 sentence 6 of the German VAT Act). In addition, the tax office rejected input VAT deduction in the context of the VAT assessment for the year 2018 because the invoice had not been corrected with retroactive effect due to the lack of tax statement.

Decision

In the opinion of the Federal Fiscal Court, the plaintiff was able to claim input VAT deduction in the assessment procedure for the period January 2019. The right to deduct input VAT already arises when the claim to the deductible tax (in this case for the supply of B to the plaintiff) arises. In conclusion, the Federal Fiscal Court is of the opinion that this point in time – not the time of receipt of the invoice – is decisive for determining the procedure to be applied. In this case, the right to deduct input VAT arose in 2018. The plaintiff could therefore not be referred to the refund procedure for the deduction of input VAT: this procedure was essentially to be carried out if the trader did not carry out any taxable transactions in Germany during the relevant refund period. However, in the period when the right to deduct input VAT arose in 2018, the plaintiff carried out such transactions to its customer almost simultaneously.

A distinction must be made between this and the exercise of the right to deduct input VAT, which presupposes the possession of a proper invoice. Such an invoice had only been available in January 2019, and retroactive effect to the date of issue of the invoice in 2018 was out of the question due to the lack of tax statement. The time at which the taxable person came into possession of the invoice only determined (here) the tax period in which the right to deduct input VAT that arose in 2018 could be exercised – which was therefore to be asserted in the context of a 2019 VAT return. In the opinion of the Federal Fiscal Court, the fact that no taxable output transactions had been carried out in January 2019 was therefore irrelevant.

As far as the demurrage costs were concerned, the Federal Fiscal Court ruled out non-taxable damages; in his opinion, these were transport costs that share the fate of the main service (in this case, the supply of gas). These costs were therefore subject to VAT, but were not taxable as independent services. The Federal Fiscal Court left open for further examination whether these costs are part of the remuneration from the outset (sec. 10 of the German VAT Act) or whether they represent a change in the basis of assessment at a later date (sec. 17 of the German VAT Act).

Note

In the case of input VAT deduction, a distinction must be made between two points in time, which can easily be separated by several months:

the period in which the right to deduct input VAT arises – this is the period in which the (output) tax claim arises on the underlying supply (as a rule, in the case of debit taxation, in principle, the period during which the supply was performed), and

	the period in which it can be exercised – in principle, the time at which the entrepreneur has a valid invoice within the meaning of secs. 14, 14a of the German VAT Act (if necessary as a result of a retroactive correction) is decisive for this. According to the Federal Fiscal Court, the first date (in this case 2018) apparently determines the applicable procedure (assessment or reimbursement) and the second date determines the period for which input VAT can be deducted (in this case, January 2019). The ruling will often be advantageous for entrepreneurs in similar situations: input VAT deduction in the assessment procedure and refund procedures are mutually exclusive. In general, however, the assessment procedure is rather advantageous compared to the input VAT refund procedure: Especially for non-EU entrepreneurs, input VAT deduction in the input VAT refund procedure may be completely excluded or only possible under restrictions due to a lack of reciprocity, and tight limitation periods are provided for the submission of applications in this procedure. In addition, there is a sometimes months-long processing time for input VAT refund applications. In the individual case, it may be necessary to examine whether the input VAT (for the first time or with a view to a possible higher refund amount) can be claimed in the assessment procedure in the light of the present judgment. This applies in particular if the application deadline has already expired or if a trader is excluded from filing an application due to a lack of reciprocity – but also with regard to certain input VAT amounts that are not refunded in the refund procedure (e.g. non-EU traders cannot claim input VAT on the purchase of fuel in the input VAT refund procedure). In many cases, it would be possible to go back up to seven years within the framework of the start-up suspension and the limitation period for assessment. However, it should be noted that not every circumstance is suitable for the application of the principles mentioned in the judgment. If a registration is only made because of the transfer of the tax liability and/or because of incorrect tax statement, the refund procedure or (even in the assessment procedure) certain restrictions of this procedure cannot be avoided.
Artikel 3	H1: VAT refund procedure, settlement certificate: further digitization Subline: The draft of the Seventh Ordinance Amending Tax Ordinances of 4 August 2025 provides for amendments to a number of tax ordinances, including the Value Added Tax Implementing Ordinance (UStDV). In the following, we will give you an overview of the most important VAT regulations.
Section	**Input VAT refund procedure** The VAT refund procedure for entrepreneurs resident in other EU countries has been almost completely digitized since 2010. As far as non-EU entrepreneurs were concerned, the German legislator has so far been more hesitant: Although the application as such has also had to be submitted electronically in this procedure since mid-2016, invoices and import receipts had to be submitted in the original until now. In a letter dated 27 March 2025, the Federal Ministry of Finance (BMF) also approved a digitally issued entrepreneur's certificate, according to the same letter,

	invoices already transmitted electronically can be uploaded in a more precisely defined manner or transmitted on a storage medium. Now the last hurdles and media disruptions are to be removed: The draft provides that the input VAT amounts must also be proven in this procedure by uploading the invoices and import receipts to the online portal of the Federal Central Tax Office (BZSt). A template on a storage medium should be possible "in exceptional cases". According to the explanatory memorandum to the ordinance, this is to replace paper proofs. The explanatory memorandum explains the "exceptional cases" as "transitional", such an exceptional case is to be assumed "if in the individual case the scope of the installations (invoices and originals) exceeds certain capacity limits". It should be noted that this is intended to replace the previous regulation: According to the wording of the ordinance, proof by submitting invoices and import receipts in the original is only to be provided for "in justified individual cases", on which the explanatory memorandum to the ordinance does not comment. It is therefore not excluded that in the future an application for remuneration submitted with original receipts will be rejected as before, unless there is a "justified individual case". In addition, further changes are planned. For example, in the remuneration procedure for companies based in the EU, explicit consent was previously required for the provision of data retrieval for the electronic disclosure of administrative files. According to the explanatory memorandum to the ordinance, it will be possible to announce the input VAT refund notice electronically in special cases from 1 January 2026 via the data retrieval in the user portal. This requires that the applicant resident in the EU not only submits the application for input VAT refund to the BZSt via the respective Member State of residence, but has also set up a user account in the BZSt online portal (which is not the rule). Apparently for this case, the regulation is provided that a postal notification is made upon request. In the remuneration procedure for non-EU entrepreneurs, on the other hand, notification by data retrieval is to be prescribed in the future, and postal notification is only to be made upon application and to avoid undue hardship. The type of notification also has procedural consequences: for example, disclosure by retrieval of data has an effect on the calculation of the time limits for appeals compared to a postal notification.
Artikel 4	H1: Draft of a letter from the Federal Ministry of Finance on electronic invoicing Sub: As early as 15 October 2024, a letter from the Federal Ministry of Finance (BMF) was published on a number of VAT issues relating to the e-invoice, which was introduced on 1 January 2025 (hereinafter: letter from 2024). An amendment to the VAT Application Decree (UStAE) had been announced at that time for a later date in a separate letter, which is now available in draft. In addition to the announced changes, the draft of the BMF letter of 25 June 2025 also contains some adjustments to the letter of 2024.
Section	**Background** On January 1, 2025, e-invoicing for services between domestic companies (B2B) was introduced in Germany. In principle, it must comply with the requirements of the

European standard for electronic invoicing and the list of syntaxes (EN 16931 series of standards).

While entrepreneurs based in Germany have been obliged to receive such structured electronic invoices since then, the obligation to issue them begins in stages:

- from 2027 for companies with an annual turnover of more than 800,000 euros,
- from 2028 for all other companies (except small businesses).

Furthermore, from 2028, invoices transmitted via electronic data interchange (EDI) must also be compliant with or interoperable with EN 16931.

According to the draft, the new letter is essentially intended to transfer the letter of 2024, including the amendments now inserted, to the VAT Circular, but without repealing the original letter. Rather, this letter is amended and supplemented in some points.

Changes to the 2024 Letter

A central clarification concerns invoices that do not meet the requirements for the structured electronic format due to format errors, so-called syntax errors. Such invoices will be classified as "other invoices" in the future. This would mean that, at least after the expiry of the non-objection periods, the input VAT deduction from such invoices can be problematic.

On the other hand, in the case of errors in content - referred to as critical errors in the draft letter - there should be an e-invoice, but it is not correct. Such a substantive error could also not be remedied by referring in the structured data to an attachment with the information on the obligation to invoice in an unstructured form. Checking whether an invoice meets the requirements of the EN 16931 series of standards – also with regard to the applicable business rules – can be carried out, for example, by using a suitable validation application.

The exemption for invoices from small businesses (not: to small entrepreneurs!) introduced by sec. 34a UStDV is to be taken into account in the letter. In addition, a clarification is provided that the mere reduction of the assessment basis does not in principle necessitate an invoice correction, but changes in the scope or content of services do.

Changes to the VAT Circularity

According to the draft, the UStAE is to be extensively reorganized and supplemented. Here is a selection of substantive changes to the VAT Circular, which do not already result from the letter:

In the case of low-value invoices, tickets as invoices and small business invoices, it should be clarified that the issuance of such invoices as e-invoices (under the other conditions, i.e. in particular in the case of B2B services) does not require the consent of the invoice recipient.

In the case of advance payment invoices and credit notes, it is sufficient to select the corresponding invoice type to indicate that they are invoices of this particular type.

	In the draft, the Federal Ministry of Finance indicates that invoice information in the case of an e-invoice cannot be contained in other documents within the meaning of sec. 31 para. 1 of the German VAT Implementing Ordinance – this is consistent with regard to the requirement that e-invoices must be formally correct (apart from the fact that missing information in the core invoice generally leads to an error). Supplementary information – such as a detailed list of hours – must be provided as an attachment within the e-bill and may not merely be referenced via a link. A clarification is provided according to which a contract can constitute an e-invoice as an invoice if it meets the requirements for its format. Otherwise, it was a miscellaneous invoice. How this can be technically implemented is questionable, as a contract can hardly be fully transferred to the semantic data model of EN 16931. If there is an e-invoice obligation, an e-invoice must then also be issued to correct the other invoice. As already stated in the letter of 2024, the underlying contract could be included in this as supplementary information in an annex contained in the e-invoice. It should be noted here that in the case of hybrid formats, deviating invoice information in the image section can lead to the acceptance of another invoice and to a tax liability according to sec. 14c of the German VAT Act. It should be clarified that an agreement of bonuses, discounts and discounts within the meaning of sec. 14 para. 4 no. 7 of the German VAT Act can be easily and clearly verified, for example by naming the corresponding contract; the agreement was to be stored in an orderly manner as part of the record-keeping obligations. **Note** It is a draft that is naturally subject to change. The final publication of the BMF letter is planned for the fourth quarter of 2025. The new letter is to apply to all transactions carried out after December 31, 2024. The business rules mentioned by the Federal Ministry of Finance define specifications that ensure the integrity of the content and the relationships between invoice fields. This includes, for example, checking the completeness and consistency of mandatory fields and the correct calculation of invoice amounts. With regard to the necessary invoice information, the draft letter contains the following information, among others: Since the invoice number is also required in the case of a continuing obligation, this should be included in the structured part of the e-invoice. As before, however, it should be sufficient if a unique number contained in the underlying contract (e.g. apartment or property number, tenant number) is used. With regard to the service date, the draft provides that the service date must be included in the structured part of the invoice and that the indication "service date corresponds to invoice date" is reserved for other invoices, as well as a reference to a delivery note date. In the case of a service description, the information in the structured part should enable a clear and easily verifiable determination of the service. This is a common practical problem, as the business rule in question only checks whether the field in

	question is filled, but not whether the content is sufficiently precise – if the statement of work is present but insufficient, there is no error message. As regards the choice of invoice type referred to in the draft letter (as in the case of credit notes and advance payment invoices), this appears to refer to the choice provided for in field BT-3 (Invoice Type Code) in accordance with UNTDID 1001. The draft still leaves some questions unanswered. For example, he does not (yet) address other literal mandatory information such as "tax liability of the recipient of the service". It is to be hoped that these and other doubtful questions will be clarified in the final version of the letter. On 14 July 2025, the Federal Ministry of Finance also recently amended the "Principles for the proper management and storage of books, records and documents in electronic form as well as for data access" (GoBD) "in particular due to the introduction of the mandatory electronic invoice for transactions between domestic entrepreneurs since 1 January 2025" in several places. This means, among other things, that in the case of e-invoices, it is sufficient if only the structured part is retained – whereas retention of the human-readable data part of a hybrid e-invoice should only be necessary if it contains additional or different information that is important for taxation. The machine evaluability in this case should then also refer to all contents of the PDF file. No change is to be made in para. 13 of the letter of 2024, where the Federal Ministry of Finance refers "additionally" to the administrative regulation of section 13b.11 para. 2 sentence 2 of the German VAT Circular: According to this, entrepreneurs who own a property located in Germany and rent it out for tax purposes are to be treated as resident in Germany in this respect. In its "Titanium" judgment (ECJ C-931/19 "Titanium", judgment of 3 June 2021), the ECJ has already described this provision as contrary to EU law because fixed establishments (VAT permanent establishments) require them to be equipped with their own staff. According to a recently published guideline of the VAT Committee (which as such is not legally binding), an obligation to issue and receive electronic invoices requires (at least) a fixed establishment. Since it was unanimously adopted by the EU member states, Germany has apparently also agreed to it – which contradicts the aforementioned regulation. Whether it will be included in the final version remains to be seen.
Artikel 5	H1: The Estonian standard tax rate rose from 22 to 24 percent on the date mentioned. Sub: Estonia has increased the standard tax rate on 1 July 2025, Romania will follow suit on 1 August 2025. In Romania, one of the reduced tax rates will also be increased.
Section	At the beginning of July, the Romanian parliament approved a tax rate increase from 19 to 21 percent as of August 1, 2025. The country is thus following a recommendation of the International Monetary Fund (IMF). At the same time, one of the reduced tax rates will be increased from 9 to 11 percent, it applies to food, water, books and hotel and catering services, among other things. Under certain conditions, a VAT rate of 9 percent will continue to apply to residential real estate until August 1, 2026.

Artikel 6	H1: Agreement on "VAT in the digital age" Sub: On 5 November 2024, EU finance ministers in the ECOFIN Council approved the final version of the VAT in the Digital Age (ViDA) package, which was published on 30 October 2024. This is to be welcomed, as Estonia had previously expressed concerns about one of the pillars of the reform – the rules on digital platforms – which were the subject of compromise debates during 2024. The other two pillars (e-reporting/e-invoicing and single VAT registration) have remained largely unchanged from the last revisions in May 2024. Only the introduction dates and the transitional regulations have changed.
Section	**Important changes** The latest ViDA package has been significantly revised compared to the original proposals of 8 December 2022 in terms of the envisaged measures and the timeline for its introduction - see the article in issue 02 of our VAT newsletter of February 2023. The three pillars of ViDA include: • VAT reporting obligations (Digital Reporting Requirements = DRR) and electronic invoicing • VAT treatment of the platform economy ("platform economy") The only VAT registration in the EU **In detail** **1. VAT reporting obligations and electronic invoicing** The following changes have been adopted: Electronic invoicing becomes the standard for issuing invoices and is no longer dependent on the consent of the invoice recipient. However, Member States may allow other invoice formats for domestic services. "Electronic invoices" are invoices that are issued, transmitted and received in an electronic format that allows automatic electronic processing. They should in principle comply with the European Standard (EN16931) and its syntax list (other formats are allowed as long as these data formats ensure interoperability with the European Standard). Member States may not require additional information in order to avoid unnecessary administrative burdens. Collective invoices for services within the same calendar month are allowed (but Member States may exclude this possibility in certain sectors susceptible to fraud). Electronic invoices for cross-border transactions must be issued no later than 10 days after the taxable event (or receipt of an advance payment). The previous recapitulative statements will be replaced by DRR for cross-border supplies of goods (including in the context of triangular transactions), transfers, services and acquisitions. The supplier's reporting of invoice data must be done in real time (i.e. at the time when the invoice is issued or should have been issued). However, the buyer must fulfil his reporting obligation no later than five days after the invoice is issued or the time at which it should have been issued, the same applies in the case of a credit note. Compared to today's invoices, the invoice must contain

	further information, such as the account number for the payment, so that the tax authority can also track the financial flows. The EU VAT Directive does not require real-time reporting of domestic transactions. However, Member States that have such systems in place or have already made certain arrangements for their introduction will have to adapt them to the digital reporting requirements for cross-border supplies. Member States may stipulate that the possession of an electronic invoice issued in accordance with the required standard is an essential condition for the right to deduct or recover the VAT due or paid for corresponding domestic supplies. Member States may not impose additional general turnover-based reporting obligations, but may maintain, inter alia, national measures for the preparation/submission of VAT returns for audit purposes, such as SAF-T requirements and reporting obligations that are not of a general nature, such as cash registers. The above requirements will apply from 1 July 2030. Specific rules are foreseen for Member States that already have domestic reporting requirements for real-time digital transactions or have made certain preparations for their introduction before 1 January 2024. They must adapt their national systems to the EU requirements by 1 January 2035. **2. VAT treatment of the platform economy ('platform economy')** As early as 1 January 2027, the existing fiction of a commission transaction in the case of a platform entrepreneur who supports a supply within the EU (in Germany, cf. sec. 3 para. 3a sentence 1 of the German VAT Act) is to be extended to supplies to taxable persons and persons treated as such. In addition, the supply of gas, electricity, heating and cooling via networks by companies not resident in the Member State concerned is to be subject to the OSS under certain conditions. From 1 July 2028 (at the earliest), a trader who mediates the short-term rental of accommodation (maximum 30 nights) and/or passenger transport by road via an electronic interface will be considered the provider of the underlying service (provided within the EU). That is not the case where the trader who actually provides the service in question communicates to the platform his local VAT number or an ID number issued under certain special schemes and declares to the platform that he will charge the VAT due for that service. Member States must apply these rules by 1 January 2030 at the latest. These special regulations and the special regulation for travel agencies (in Germany see § 25 UStG) are mutually exclusive. At the discretion of the individual Member States, it should also not apply to small entrepreneurs. Other exceptions concern platforms that only process payments, list or advertise the services, or only redirect customers. For short-term rentals, Member States will be given the possibility to adapt the scheme to their respective national specificities. **3. The only VAT registration in the EU** From 1 July 2028, companies operating in different EU member states will no longer have to register for VAT multiple times. This is to be achieved by:

- the expansion of the one-stop-shop. This concerns, inter alia, platform-facilitated stationary supplies, installation supplies, deliveries on board a ship, aircraft or railway, as well as numerous non-cross-border supplies by non-resident traders to other traders (and treated as such);
- the introduction of a special regulation for the transfer of one's own belongings,
- and the mandatory reverse charge mechanism in cases where, unlike his business customer, the supplier is not established or registered for VAT purposes in the country where the VAT is incurred. However, the member states can also make further regulations for services provided by non-resident entrepreneurs. An exception applies to supplies within the scope of margin taxation (cf. in Germany § 25a UStG).

Since the OSS simplification scheme for intra-company transfers of goods is comprehensive and also includes cross-border transport of goods for which the call-off stock scheme is currently provided for (cf. in Germany sec. 6b of the German VAT Act), the call-off stock scheme will be gradually abolished (see below in the schedule overview).

In addition to the measures described, a number of other provisions are envisaged, e.g. a provision according to which no taxation takes place under the OSS, inter alia, on the basis of received remuneration.

Result

The ViDA reform heralds a new era for VAT in the digital economy and leads to a significant need for adaptation of internal company processes, which require careful review of regulations, strategic planning and additional resources. The importance of digital data processing and the use of the corresponding technologies will increase considerably. Tax authorities will also have to adapt their systems to ensure a smooth transition that is beneficial for both businesses and the tax authorities.

Following the agreement in ECOFIN, the significant changes to the original proposal will require the European Parliament to be consulted again on the compromise text under a simplified written procedure. This approval should be given shortly. After that, the new rules will still need to be formally adopted by the Council.

Overview

1. Digital reporting obligations and electronic invoicing

- Phase I: No derogation required for the introduction of mandatory e-invoicing: From the entry into force of the Directive
- Phase II: Launch of DRR and new e-invoicing for EU transactions: July 2030
- Phase III: Alignment of national systems for real-time reporting and, where appropriate, electronic invoicing: 2035

2. Platform economy

Adjustments to the e-commerce package of 1 July 2021 – e.g. inclusion of certain supplies of natural gas, electricity, heating and cooling in the OSS: 1 January 2027

	Platform operator as a fictitious service provider: 1 July 2027 (supplies by traders from non-EU countries to taxpayers); 1 July 2028 by 2030 at the latest (short-term rental of accommodation and road passenger transport) **3. Single VAT registration** • Extension of the OSS to further deliveries within the framework of e-commerce as well as by non-resident entrepreneurs, the transfer of own goods, installation deliveries, the sale of goods on board ships, trains and aircraft: July 2028 • Extension and harmonisation of the transfer of the tax liability system: July 2028 • Mandatory IOSS for B2C sales of imported goods: dropped, now part of customs reform • Expiry of the consignment stock regime: June 2029 (last application of the existing regime for goods stored up to and including June 2028).
Artikel 7	H1: EU Commission's portal for small businesses Sub: After the new regime for EU small businesses was introduced on 1 January 2025, the EU Commission has set up a portal for small and medium-sized enterprises on its website.
Sektion	The new EU small and medium enterprises scheme (SME scheme) allows small entrepreneurs based in the EU to make use of the small business regulations (also) of other EU member states, provided that the relevant thresholds are not exceeded. For Germany, the legal requirements were created with the Annual Tax Act 2024 (for an overview, see issue 05 of our VAT newsletter of May 2024). The EU Commission has provided an information portal for small businesses, which provides relevant information. The portal is still only available in English (a German version is largely only available via eTranslation, the European Commission's machine translation service). Among other things, the portal offers a detailed presentation of the requirements and consequences of the small business regulation as well as a tool called SME-on-the-web, which can be used to check the small business identification number. In addition to the guidelines of the VAT Committee on the new regime, there are guidelines from the EU Commission for detailed questions as well as a (somewhat more concise) guide – these documents are also available in German, among other languages. The portal is not yet complete: For example, the "simulator", a tool that is intended to help assess whether an entrepreneur can make use of the small business regulation, is still missing. The information compiled by the EU Commission on the small business regulation of the individual member states that have introduced such a regulation is also still incomplete. It should be noted that the regulations contained in the guidelines as well as the guide are not legally binding. The other information may also not be a substitute for tax advice.

Artikel 8	H1: Mandatory e-invoicing in Poland: draft legislation Sub: On 5 November 2024, a draft law was published in Poland that provides for an obligation to issue invoices via the national e-invoicing system ("Krajowy System e-Factur", KSeF). A gradual introduction is planned during 2026 - both for entrepreneurs who carry out taxable transactions and those who provide tax-exempt transactions.
Section	According to the current status, the e-invoicing obligation is to apply (only) to entrepreneurs resident in Poland, but not to those who are only registered there for tax purposes. In a first step, the e-invoicing obligation will become mandatory for larger companies from 1 February 2026 (turnover including tax in the amount of more than 200 million złoty, approx. 57,782,000 euros). Most other entrepreneurs will follow on 1 April 2026 – with the exception of micro-entrepreneurs whose individual invoices do not exceed 450 złoty (approx. 104 euros) and whose turnover does not exceed 10,000 złoty (approx. 2,300 euros) per month, who are granted time until 30 September 2026. For example, special deadlines apply to invoices issued by cash registers (until 31 July 2026), and the requirement to show the KSeF number for payments on amounts invoiced by e-invoice (including those subject to the split payment mechanism) does not appear to have to be complied with until after 31 July 2026. In addition, the draft law provides for a number of other changes and innovations, for example, it should be possible to send e-invoices with attachments upon request, which will become an integral part of e-invoices.
Artikel 9	H1: Basics of the VAT refund procedure Sub: 1. Options for refunding foreign VAT 2. Substantive requirements for recourse to the remuneration procedure 3. Applications to third countries 4. Applications in Member States of the European Union
	1. Options for refunding foreign VAT The increasing internationalisation of commercial transactions means that more and more German companies are also operating abroad. Employees travel to trade fairs and exhibitions or spend the night abroad on business for other reasons, while the trucks of German haulage companies are refueled abroad. In cases like these, German companies are charged foreign VAT. Unlike domestic invoices, this VAT cannot be claimed as part of the advance VAT return. It is often not known that there is the possibility for a significant number of countries to get this foreign VAT refunded within the framework of the so-called "VAT refund procedure". Within the European Union, this possibility exists in relation to all member states. Outside the European Union, this depends on whether there is an intergovernmental agreement between the Federal Republic of Germany and the respective third

country that regulates reciprocal reimbursement. On 9 November 2022, the Federal Ministry of Finance issued a letter from the Federal Ministry of Finance that maintains a list of third countries where reciprocity exists, updated as of 1 January 2023, as well as a list where reciprocity does not exist.

2. Substantive requirements for recourse to the VAT refund procedure

The refund procedure can only be used by entrepreneurs within the meaning of VAT law. It should also be noted that a trader who wishes to make use of the refund procedure must not be resident in the country in question and must not have carried out any taxable transactions triggering the registration in the country during the VAT refund period. In this respect, the requirement to register for VAT and to claim input VAT in this way takes precedence over the refund procedure. However, other supplies that are taxable in the foreign country in question, but for which the tax liability is shifted to the recipient of the service due to the application of the so-called "reverse charge procedure", are generally not detrimental to the application of the VAT refund procedure.

In the refund procedure, the input VAT deduction restrictions must also be observed. In a number of countries, there are substantive restrictions on input tax deduction. This applies in particular to input tax incurred in connection with travel expenses. These also have an effect in the VAT refund procedure.

For the processing of applications, a distinction must be made between applications in third country countries and EU member states:

3. Applications to third countries

Application

The application is made directly to the foreign reimbursement authority on the application form provided for this purpose. The Federal Central Tax Office (BZSt) has some contacts and addresses of the refund authorities along with application forms. It should be noted that the form must be filled out in the respective national language or languages approved by the country.

VAT refund period

The VAT refund period is usually at least three consecutive calendar months, at most one calendar year.

Original invoices

The input VAT amounts listed individually in the application form must usually be substantiated by original invoices. Invoices must comply with the formal requirements of the VAT law of the country in question.

Entrepreneur's certificate

The applicant must prove by means of a certificate from the tax office responsible for him under which tax number he is registered. The certificate is valid for one year from the date of issue. A sample of the certificate VAT 1 TN can be found on the homepage of the Federal Ministry of Finance and is available from the BZST.

Minimum amount

In each third country, there are certain minimum amounts for annual or quarterly allowances.

Duration of the procedure

In principle, the competent authority should decide within six months of receipt of the application. In practice, it has been shown that in some countries it is necessary to wait for considerably longer periods before the input VAT amount is refunded. The payment of the VAT refund amount is usually made by transfer to a domestic or foreign account of the person entitled to the VAT refund.

4. Applications in Member States of the European Union

Each Member State has set up an electronic portal through which companies established in that country can submit their refund applications to the other Member States.

In Germany, this electronic application portal was set up at the BZSt. Details on the application procedure that can be initiated via this can be found at the Federal Central Tax Office.

According to this, the following applies:

Application/initiation of the electronic procedure

A trader resident in Germany who has been invoiced VAT by a trader in another Member State may apply to the competent authority of that Member State for a refund of this tax via the BZSt. If the trader applies for reimbursement for several Member States, a separate application must be made for each Member State.

Applications for a refund of input VAT amounts in another Member State must be submitted to the BZSt by remote data transmission in accordance with the Tax Data Transmission Ordinance in accordance with the officially prescribed data set (sec. 18g of the German VAT Act).

A certificate is required to use the BZStOnline portal (BOP). Domestic entrepreneurs and their authorised representatives can use an existing ELSTER certificate and log in to the BOP with these access data.

If you do not yet have a certificate, the BZSt recommends that you acquire the certificate by registering in My ELSTER.

In the refund application, the tax for the VAT refund period must be calculated.

Application deadline

The application for reimbursement must be submitted by 30 September of the calendar year following the year in which the invoice is issued. In order to comply with the deadline pursuant to sentence 1, the timely receipt of the application for reimbursement by the BZSt shall be sufficient.

Minimum amount

	The amount of the allowance must be at least EUR 50 or equivalent to an amount converted into local currency. The entrepreneur may also submit an application for a period of at least three months if the amount of VAT refund is at least EUR 400 or corresponds to an amount converted into national currency. Content of the application The entrepreneur must state the following in the application for reimbursement: • the Member State of reimbursement; • the name and full address of the entrepreneur; • an address for electronic communications; • a description of the business activity of the entrepreneur for which the goods or services to which the application relates were purchased; • the VAT refund period to which the application relates; • a declaration by the trader that he has not made any supplies of goods or services in the Member State of refund during the VAT refund period, with the exception of certain tax-exempt transport services (cf. sec. 4 no. 3 of the German VAT Act), transactions for which the recipient of the service is solely liable for the tax, or intra-Community acquisitions and subsequent supplies within the meaning of sec. 25b para. 2 of the German VAT Act; • the VAT identification number (VAT number) or tax number (StNr.) of the entrepreneur; • their bank details (including IBAN and BIC). In addition to this information, the application for reimbursement shall include the following information for each Member State of refund and for each invoice or import document: • the name and full address of the supplier or service provider; • except in the case of importation, the VAT ID No. of the supplier or the tax register number assigned to him by the Member State of refund; • except in the case of importation, the prefix of the Member State of refund; • the date and number of the invoice or import document; • the basis of assessment and the amount of tax in the currency of the Member State of refund; • the amount of deductible tax in the currency of the Member State of refund; Page 14 • where applicable, a proportion rate (to be applied in certain sectors); Type of goods and services purchased broken down by indicator: • Fuel; • rental of means of transport; • expenditure on means of transport (goods and services other than those described in code 1 or 2); • tolls and road tolls; • travel expenses such as taxi fares, public transport costs; • Accommodation; • food, beverages and restaurant services;

	• entrance fees to trade fairs and exhibitions; • luxury expenditures, entertainment expenditures, and representation expenses; • Other. The type of goods or services supplied must be specified. If the Member State of refund so provides, the trader must provide additional electronically encrypted information on each code number (so-called subcodes) if this is necessary due to restrictions on input VAT deduction in the Member State of refund. **Note:** In principle, the substantive provisions of the country of refund are decisive for refund. Input VAT on certain costs cannot be claimed equally in all Member States. Most countries have so-called input tax exclusions. This applies in particular to the area of representation costs as well as travel expenses and expenses for accommodation and meals. However, there are also some far-reaching input VAT exclusions in the area of motor vehicle expenses. **Copies of invoices** If the taxable amount on the invoice or import document is at least EUR 1,000 (at least EUR 250 in the case of invoices for fuel), the trader must attach electronic copies of the invoices or import documents (as scanned originals) to the refund application, if the Member State of reimbursement so provides. **Job description** The reimbursement State may require the trader to include in the application a description of his business activity on the basis of the harmonised code. He may also request additional information in the application for reimbursement. **Examination of admissibility by the Federal Central Office** The applications submitted electronically to the BZSt are pre-checked for admissibility by the BZSt as the authority responsible for the input VAT refund procedure. In doing so, the BZSt must only determine whether: • the VAT identification number or tax number provided by the entrepreneur is correct and attributable to him, and • the trader is an entrepreneur entitled to deduct input VAT. Forwarding to the Member State of refund If, after carrying out the preliminary examination, the BZSt determines that the application is admissible in this respect, it forwards it to the Member State of reimbursement via an electronic interface. By forwarding the application, the BZSt confirms that • the VAT ID number provided by the entrepreneur. or StNr. is correct and • the trader is an entrepreneur entitled to deduct input VAT.

	The refund must be forwarded to the Member State of refund within 15 days of receipt of the application. **Transmission of an acknowledgement of receipt** The BZSt must send the applicant an electronic acknowledgement of receipt of the application. **Interest** In principle, interest is payable on the amount of the VAT refund if the payment has not been made within four months and ten days of receipt of the application for VAT refund.